Sample Mortgage Bank Limited

Mortgage Loan Policy

Version 1.0

Item	Detail
Effective date	01-Apr-2019
Supersedes	None (initial release)
Total pages	40
Owner	Retail Credit Policy Department
Classification	Internal. Synthetic document created only for RAG testing - not a real bank policy.

Document Control

Version	Effective date	Supersedes	Status
1.0	01-Apr-2019	-	In force from the effective date

Summary of changes from the previous version

This is the initial release of the Mortgage Loan Policy. There is no previous version.

Contents

- 1. Purpose and Scope
- 2. Eligibility
- 3. Loan Quantum
- 4. Tenure
- 5. Pricing and Charges
- 6. Security and Insurance
- 7. Sanction and Disbursement
- 8. Special Features
- 9. Sanctioning Authority
- 10. Annexures
- Part B - Operating Guidelines (chapters 11 to 24)
- Annexure A - Branch Master
- Annexure B - Document Retention Register

Part A - Mortgage Loan Policy

1. Purpose and Scope

1.1 This Mortgage Loan Policy (the Policy) sets out eligibility, pricing, sanction and servicing norms for mortgage loans offered by Sample Mortgage Bank Limited (the Bank) to individual borrowers. This is Version 1.0, effective 01-Apr-2019.

1.2 Version precedence: where two versions of this Policy differ, the latest effective version prevails for all new applications. An earlier version continues to apply only to loans sanctioned during that version's effective period.

1.3 Products covered by this Policy:

- Home purchase loan
- Home construction loan
- Home improvement loan
- Loan against property (LAP)

2. Eligibility

The Bank assesses every applicant against the criteria below. An application that does not meet a criterion is declined unless an exception is approved in writing under the exception process of this Policy.

2.1 The minimum age of the applicant at the time of application is 21 years. The maximum age of the applicant at loan maturity is 65 years.

2.2 The minimum credit score required is 650. Applications below this score are declined.

2.3 Self-employed applicants must have a minimum business vintage of 3 years.

2.4 Non-Resident Indians (NRI) are not eligible under this version of the Policy.

Table 1: Eligibility summary

Criterion	Requirement
Minimum age at application	21 years
Maximum age at maturity	65 years
Minimum credit score	650
Self-employed business vintage	At least 3 years
NRI applicants	Not eligible

3. Loan Quantum

3.1 Minimum loan amount: Rs 5 lakh. Maximum loan amount: Rs 2.0 crore per borrower.

3.2 The maximum Loan-to-Value (LTV) ratio depends on the loan amount requested: up to Rs 30 lakh: 90%; above Rs 30 lakh and up to Rs 75 lakh: 80%; above Rs 75 lakh: 75%.

Table 2: Maximum LTV by loan amount

Loan amount requested	Maximum LTV
Up to Rs 30 lakh	90%
Above Rs 30 lakh and up to Rs 75 lakh	80%
Above Rs 75 lakh	75%

3.3 The maximum Fixed Obligation to Income Ratio (FOIR) is 50% of net monthly income. Maximum permissible EMI = FOIR x net monthly income - existing monthly obligations.

4. Tenure

4.1 The maximum loan tenure is 25 years, subject to the maximum age at maturity in clause 2.1.

5. Pricing and Charges

5.1 Floating interest rate = Bank Reference Rate (BRR) + spread. Under this version the BRR is 8.50% per annum and the spread is 3.00% per annum, so the applicable floating rate is 11.50% per annum.

5.2 Processing fee: 1.00% of the sanctioned loan amount, exclusive of taxes.

5.3 Valuation fee: Rs 2,500 per property, non-refundable.

5.4 Penal charge on overdue EMI: 24% per annum on the overdue amount, calculated daily on a 365-day year.

5.5 Prepayment / foreclosure charge on floating rate loans to individual borrowers: 2% of the principal amount prepaid.

Table 3: Summary of charges

Charge	Rate / amount	Basis
Interest rate (floating)	11.50% p.a.	BRR + spread
Processing fee	1.00%	Sanctioned loan amount, excl. taxes
Valuation fee	Rs 2,500	Per property
Penal charge on overdue EMI	24% p.a.	Overdue amount, daily, 365-day year
Prepayment charge (floating)	2%	Principal amount prepaid

6. Security and Insurance

6.1 Mortgage of the financed property is mandatory. Property (fire and allied perils) insurance is mandatory. Life insurance cover for the primary borrower is mandatory.

7. Sanction and Disbursement

7.1 A sanction letter is valid for 90 days from the date of issue. If the loan is not disbursed within the validity period the sanction lapses.

8. Special Features

8.1 General: no additional special features are defined in this version.

9. Sanctioning Authority

9.1 Branches are graded A, B and C. Maximum loan a branch may sanction: Grade A - Rs 100 lakh; Grade B - Rs 50 lakh; Grade C - Rs 25 lakh. Loans above the branch limit must be referred to the Regional Credit Committee.

Table 4: Branch sanction limits

Branch grade	Maximum loan the branch may sanction
Grade A	Rs 100 lakh
Grade B	Rs 50 lakh
Grade C	Rs 25 lakh

10. Annexures

10.1 Annexure A (Branch Master) and Annexure B (Document Retention Register) are placed at the end of this document.

Part B - Operating Guidelines

Part B sets out the operating procedures that support the Policy in Part A. Each chapter deals with one function and is divided into five sections: objective, roles, procedure, exceptions and records.

Chapter 11: Credit appraisal (Part 1)

11.1 Objective and applicability

This section sets out the objective and applicability of the credit appraisal requirements described in chapter 11. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to repayment capacity and existing obligations.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on credit appraisal is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

11.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the credit appraisal requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to repayment capacity and existing obligations.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the credit appraisal activities in chapter 11.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.
- Retail Credit Policy Department: periodic review of this chapter.

11.3 Procedure and timelines

The procedure for credit appraisal is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 11.3: Stages and time limits - credit appraisal

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	7 working days
Review and verification	Credit Officer	2 working days
Approval	Regional Credit Manager	4 working days
Communication to customer	Customer Service Executive	6 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

11.4 Exceptions and escalation

Any exception to the credit appraisal requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving repayment capacity and existing obligations that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

11.5 Records and reporting

Records relating to credit appraisal are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on credit appraisal to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 11.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 11.5: Reporting calendar - credit appraisal

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	3
Regional consolidation	Regional Credit Manager	8

Report	Prepared by	Due (working days after month end)
Policy department review	Retail Credit Policy Department	15

Chapter 12: Income assessment (Part 1)

12.1 Objective and applicability

This section sets out the objective and applicability of the income assessment requirements described in chapter 12. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to the stability and verifiability of income.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on income assessment is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

12.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the income assessment requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to the stability and verifiability of income.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the income assessment activities in chapter 12.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.

12.3 Procedure and timelines

The procedure for income assessment is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 12.3: Stages and time limits - income assessment

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	3 working days
Review and verification	Credit Officer	5 working days
Approval	Regional Credit Manager	7 working days
Communication to customer	Customer Service Executive	2 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

12.4 Exceptions and escalation

Any exception to the income assessment requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving the stability and verifiability of income that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

12.5 Records and reporting

Records relating to income assessment are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on income assessment to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 12.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 12.5: Reporting calendar - income assessment

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	4
Regional consolidation	Regional Credit Manager	10
Policy department review	Retail Credit Policy Department	12

Chapter 13: Property valuation (Part 1)

13.1 Objective and applicability

This section sets out the objective and applicability of the property valuation requirements described in chapter 13. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to market value and condition of the property.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on property valuation is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

13.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the property valuation requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to market value and condition of the property.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the property valuation activities in chapter 13.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.
- Retail Credit Policy Department: periodic review of this chapter.

13.3 Procedure and timelines

The procedure for property valuation is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 13.3: Stages and time limits - property valuation

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	6 working days

Stage	Responsible officer	Time limit
Review and verification	Credit Officer	1 working days
Approval	Regional Credit Manager	3 working days
Communication to customer	Customer Service Executive	5 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

13.4 Exceptions and escalation

Any exception to the property valuation requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving market value and condition of the property that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

13.5 Records and reporting

Records relating to property valuation are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on property valuation to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 13.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 13.5: Reporting calendar - property valuation

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	5
Regional consolidation	Regional Credit Manager	7
Policy department review	Retail Credit Policy Department	15

Chapter 14: Legal and title scrutiny (Part 1)

14.1 Objective and applicability

This section sets out the objective and applicability of the legal and title scrutiny requirements described in chapter 14. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to clear and marketable title.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on legal and title scrutiny is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

14.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the legal and title scrutiny requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to clear and marketable title.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the legal and title scrutiny activities in chapter 14.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.

14.3 Procedure and timelines

The procedure for legal and title scrutiny is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 14.3: Stages and time limits - legal and title scrutiny

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	2 working days
Review and verification	Credit Officer	4 working days

Stage	Responsible officer	Time limit
Approval	Regional Credit Manager	6 working days
Communication to customer	Customer Service Executive	1 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

14.4 Exceptions and escalation

Any exception to the legal and title scrutiny requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving clear and marketable title that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

14.5 Records and reporting

Records relating to legal and title scrutiny are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on legal and title scrutiny to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 14.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 14.5: Reporting calendar - legal and title scrutiny

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	6
Regional consolidation	Regional Credit Manager	9
Policy department review	Retail Credit Policy Department	12

Chapter 15: KYC and anti-money-laundering checks (Part 1)

15.1 Objective and applicability

This section sets out the objective and applicability of the kyc and anti-money-laundering checks requirements described in chapter 15. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to customer identity and source of funds.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on kyc and anti-money-laundering checks is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

15.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the kyc and anti-money-laundering checks requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to customer identity and source of funds.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the kyc and anti-money-laundering checks activities in chapter 15.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.
- Retail Credit Policy Department: periodic review of this chapter.

15.3 Procedure and timelines

The procedure for kyc and anti-money-laundering checks is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 15.3: Stages and time limits - kyc and anti-money-laundering checks

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	5 working days

Stage	Responsible officer	Time limit
Review and verification	Credit Officer	7 working days
Approval	Regional Credit Manager	2 working days
Communication to customer	Customer Service Executive	4 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

15.4 Exceptions and escalation

Any exception to the kyc and anti-money-laundering checks requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving customer identity and source of funds that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

15.5 Records and reporting

Records relating to kyc and anti-money-laundering checks are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on kyc and anti-money-laundering checks to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 15.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 15.5: Reporting calendar - kyc and anti-money-laundering checks

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	2
Regional consolidation	Regional Credit Manager	6
Policy department review	Retail Credit Policy Department	15

Chapter 16: Loan documentation (Part 1)

16.1 Objective and applicability

This section sets out the objective and applicability of the loan documentation requirements described in chapter 16. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to completeness and accuracy of signed documents.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on loan documentation is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

16.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the loan documentation requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to completeness and accuracy of signed documents.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the loan documentation activities in chapter 16.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.

16.3 Procedure and timelines

The procedure for loan documentation is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 16.3: Stages and time limits - loan documentation

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	1 working days
Review and verification	Credit Officer	3 working days

Stage	Responsible officer	Time limit
Approval	Regional Credit Manager	5 working days
Communication to customer	Customer Service Executive	7 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

16.4 Exceptions and escalation

Any exception to the loan documentation requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving completeness and accuracy of signed documents that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

16.5 Records and reporting

Records relating to loan documentation are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on loan documentation to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 16.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 16.5: Reporting calendar - loan documentation

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	3
Regional consolidation	Regional Credit Manager	8
Policy department review	Retail Credit Policy Department	12

Chapter 17: Disbursement conditions (Part 1)

17.1 Objective and applicability

This section sets out the objective and applicability of the disbursement conditions requirements described in chapter 17. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to conditions to be met before funds are released.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on disbursement conditions is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

17.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the disbursement conditions requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to conditions to be met before funds are released.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the disbursement conditions activities in chapter 17.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.
- Retail Credit Policy Department: periodic review of this chapter.

17.3 Procedure and timelines

The procedure for disbursement conditions is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 17.3: Stages and time limits - disbursement conditions

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	4 working days

Stage	Responsible officer	Time limit
Review and verification	Credit Officer	6 working days
Approval	Regional Credit Manager	1 working days
Communication to customer	Customer Service Executive	3 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

17.4 Exceptions and escalation

Any exception to the disbursement conditions requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving conditions to be met before funds are released that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

17.5 Records and reporting

Records relating to disbursement conditions are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on disbursement conditions to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 17.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 17.5: Reporting calendar - disbursement conditions

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	4
Regional consolidation	Regional Credit Manager	10
Policy department review	Retail Credit Policy Department	15

Chapter 18: Collections and recovery (Part 1)

18.1 Objective and applicability

This section sets out the objective and applicability of the collections and recovery requirements described in chapter 18. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to early contact with the borrower and fair recovery practice.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on collections and recovery is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

18.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the collections and recovery requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to early contact with the borrower and fair recovery practice.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the collections and recovery activities in chapter 18.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.

18.3 Procedure and timelines

The procedure for collections and recovery is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 18.3: Stages and time limits - collections and recovery

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	7 working days
Review and verification	Credit Officer	2 working days

Stage	Responsible officer	Time limit
Approval	Regional Credit Manager	4 working days
Communication to customer	Customer Service Executive	6 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

18.4 Exceptions and escalation

Any exception to the collections and recovery requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving early contact with the borrower and fair recovery practice that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

18.5 Records and reporting

Records relating to collections and recovery are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on collections and recovery to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 18.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 18.5: Reporting calendar - collections and recovery

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	5
Regional consolidation	Regional Credit Manager	7
Policy department review	Retail Credit Policy Department	12

Chapter 19: Customer grievance handling (Part 1)

19.1 Objective and applicability

This section sets out the objective and applicability of the customer grievance handling requirements described in chapter 19. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to acknowledgement, investigation and closure of complaints.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on customer grievance handling is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

19.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the customer grievance handling requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to acknowledgement, investigation and closure of complaints.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the customer grievance handling activities in chapter 19.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.
- Retail Credit Policy Department: periodic review of this chapter.

19.3 Procedure and timelines

The procedure for customer grievance handling is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 19.3: Stages and time limits - customer grievance handling

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	3 working days

Stage	Responsible officer	Time limit
Review and verification	Credit Officer	5 working days
Approval	Regional Credit Manager	7 working days
Communication to customer	Customer Service Executive	2 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

19.4 Exceptions and escalation

Any exception to the customer grievance handling requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving acknowledgement, investigation and closure of complaints that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

19.5 Records and reporting

Records relating to customer grievance handling are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on customer grievance handling to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 19.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 19.5: Reporting calendar - customer grievance handling

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	6
Regional consolidation	Regional Credit Manager	9
Policy department review	Retail Credit Policy Department	15

Chapter 20: Internal audit and compliance (Part 1)

20.1 Objective and applicability

This section sets out the objective and applicability of the internal audit and compliance requirements described in chapter 20. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to adherence to approved procedures and timely reporting.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on internal audit and compliance is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

20.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the internal audit and compliance requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to adherence to approved procedures and timely reporting.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the internal audit and compliance activities in chapter 20.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.

20.3 Procedure and timelines

The procedure for internal audit and compliance is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 20.3: Stages and time limits - internal audit and compliance

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	6 working days
Review and verification	Credit Officer	1 working days

Stage	Responsible officer	Time limit
Approval	Regional Credit Manager	3 working days
Communication to customer	Customer Service Executive	5 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

20.4 Exceptions and escalation

Any exception to the internal audit and compliance requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving adherence to approved procedures and timely reporting that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

20.5 Records and reporting

Records relating to internal audit and compliance are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on internal audit and compliance to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 20.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 20.5: Reporting calendar - internal audit and compliance

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	2
Regional consolidation	Regional Credit Manager	6
Policy department review	Retail Credit Policy Department	12

Chapter 21: Data privacy and record keeping (Part 1)

21.1 Objective and applicability

This section sets out the objective and applicability of the data privacy and record keeping requirements described in chapter 21. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to safe handling of personal information.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on data privacy and record keeping is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

21.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the data privacy and record keeping requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to safe handling of personal information.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the data privacy and record keeping activities in chapter 21.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.
- Retail Credit Policy Department: periodic review of this chapter.

21.3 Procedure and timelines

The procedure for data privacy and record keeping is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 21.3: Stages and time limits - data privacy and record keeping

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	2 working days

Stage	Responsible officer	Time limit
Review and verification	Credit Officer	4 working days
Approval	Regional Credit Manager	6 working days
Communication to customer	Customer Service Executive	1 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

21.4 Exceptions and escalation

Any exception to the data privacy and record keeping requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving safe handling of personal information that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

21.5 Records and reporting

Records relating to data privacy and record keeping are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on data privacy and record keeping to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 21.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 21.5: Reporting calendar - data privacy and record keeping

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	3
Regional consolidation	Regional Credit Manager	8
Policy department review	Retail Credit Policy Department	15

Chapter 22: Fraud monitoring (Part 1)

22.1 Objective and applicability

This section sets out the objective and applicability of the fraud monitoring requirements described in chapter 22. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to red-flag indicators and escalation.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on fraud monitoring is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

22.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the fraud monitoring requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to red-flag indicators and escalation.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the fraud monitoring activities in chapter 22.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.

22.3 Procedure and timelines

The procedure for fraud monitoring is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 22.3: Stages and time limits - fraud monitoring

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	5 working days
Review and verification	Credit Officer	7 working days

Stage	Responsible officer	Time limit
Approval	Regional Credit Manager	2 working days
Communication to customer	Customer Service Executive	4 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

22.4 Exceptions and escalation

Any exception to the fraud monitoring requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving red-flag indicators and escalation that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

22.5 Records and reporting

Records relating to fraud monitoring are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on fraud monitoring to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 22.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 22.5: Reporting calendar - fraud monitoring

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	4
Regional consolidation	Regional Credit Manager	10
Policy department review	Retail Credit Policy Department	12

Chapter 23: Customer communication (Part 1)

23.1 Objective and applicability

This section sets out the objective and applicability of the customer communication requirements described in chapter 23. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to clear and timely communication to customers.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on customer communication is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

23.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the customer communication requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to clear and timely communication to customers.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the customer communication activities in chapter 23.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.
- Retail Credit Policy Department: periodic review of this chapter.

23.3 Procedure and timelines

The procedure for customer communication is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 23.3: Stages and time limits - customer communication

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	1 working days

Stage	Responsible officer	Time limit
Review and verification	Credit Officer	3 working days
Approval	Regional Credit Manager	5 working days
Communication to customer	Customer Service Executive	7 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

23.4 Exceptions and escalation

Any exception to the customer communication requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving clear and timely communication to customers that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

23.5 Records and reporting

Records relating to customer communication are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on customer communication to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 23.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 23.5: Reporting calendar - customer communication

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	5
Regional consolidation	Regional Credit Manager	7
Policy department review	Retail Credit Policy Department	15

Chapter 24: Staff training and certification (Part 1)

24.1 Objective and applicability

This section sets out the objective and applicability of the staff training and certification requirements described in chapter 24. It applies to all branches, regional offices and the central processing centre that handle mortgage loan applications.

The Bank applies these requirements uniformly to every product covered by the Policy so that customers receive consistent treatment irrespective of the branch they approach. Particular attention is given to role-based learning and periodic refresher assessment.

Where a local instruction conflicts with this section, the requirement of this Policy applies unless the Head of Retail Credit has issued a written clarification.

Officers are expected to read this section together with the related sections of Part A and to ask the Retail Credit Policy Department for clarification when the intended application is unclear. Training material on staff training and certification is available on the staff portal.

- Applies to all new mortgage applications and to existing borrowers where a service request is raised.
- Covers home purchase, construction, improvement and loan against property products.
- Is read together with the other chapters of this Policy.

24.2 Roles and responsibilities

The Branch Manager is responsible for ensuring that the staff training and certification requirements are followed at the branch. The Credit Officer reviews each file and records observations on the file note, giving particular attention to role-based learning and periodic refresher assessment.

Regional Credit Managers monitor compliance on a sample basis and report material deviations to the Head of Retail Credit. Staff who are unsure of a requirement must seek guidance before proceeding.

Nothing in this section removes the personal accountability of each officer for the accuracy of the information recorded by that officer.

Role holders must not delegate a decision to a junior officer unless the delegation is recorded in writing. Where an officer is absent, the Branch Manager nominates a suitable replacement for the staff training and certification activities in chapter 24.

- Branch Manager: overall responsibility for compliance at branch level.
- Credit Officer: file review and recording of observations.
- Regional Credit Manager: sample monitoring and escalation.

24.3 Procedure and timelines

The procedure for staff training and certification is carried out in the stages shown in the table below. Each stage must be completed within the time limit shown, counted in working days from the date the file is received by the responsible officer.

Officers must record the date and time of each stage in the loan origination system. A file that cannot progress because of missing information is returned to the customer with a clear list of what is required.

Time limits stop running while the Bank is waiting for information from the customer and resume when the information is received.

Table 24.3: Stages and time limits - staff training and certification

Stage	Responsible officer	Time limit
Receipt and logging	Branch Operations Officer	4 working days
Review and verification	Credit Officer	6 working days

Stage	Responsible officer	Time limit
Approval	Regional Credit Manager	1 working days
Communication to customer	Customer Service Executive	3 working days

The customer is informed of the outcome of each stage through the channel chosen at the time of application. Where a stage is delayed beyond its limit, the responsible officer records the reason and informs the customer of the revised date.

- Log every file on the day of receipt.
- Return incomplete files with a written list of missing items.
- Record the outcome of each stage in the system.

24.4 Exceptions and escalation

Any exception to the staff training and certification requirements must be requested in writing, with reasons, and approved by an officer at least one level above the officer who would normally decide the file.

Cases involving role-based learning and periodic refresher assessment that cannot be resolved at branch level are escalated to the Regional Credit Manager and, where necessary, to the Regional Credit Committee.

Approved exceptions are reported in the monthly exceptions summary. Repeated exceptions of the same kind are reviewed to decide whether this Policy needs to be amended.

The escalation matrix is reviewed every year. Officers must not split a case into smaller parts to avoid escalation, and any attempt to do so is treated as a breach of the Bank's code of conduct.

- Written request stating the reason for the exception.
- Approval by an officer at least one level higher.
- Entry in the monthly exceptions summary.

24.5 Records and reporting

Records relating to staff training and certification are maintained in the loan file and in the loan origination system. Entries must be complete, dated and traceable to the officer who made them.

Branches submit a monthly report on staff training and certification to the regional office. The regional office consolidates these reports for the quarterly review by the Retail Credit Policy Department.

Records are retained for the period set out in the document retention register at the end of this document.

Internal audit tests a sample of loan files each year to confirm that the records described in section 24.5 are complete. Findings are shared with the Branch Manager and tracked until closed.

- Keep the loan file complete and in the prescribed order.
- Submit the monthly report by the fifth working day of the following month.
- Do not alter a closed record; add a dated correction note instead.

Table 24.5: Reporting calendar - staff training and certification

Report	Prepared by	Due (working days after month end)
Branch summary	Branch Manager	6
Regional consolidation	Regional Credit Manager	9
Policy department review	Retail Credit Policy Department	12

Annexure A - Branch Master

The table below lists the branches authorised to originate mortgage loans under this version of the Policy, with the grade of each branch. The grade decides the sanction limit in clause 9.1.

Branch ID	City	Region	Grade
BR-0001	Ahmedabad	West	Grade B
BR-0002	Mumbai	West	Grade C
BR-0003	Pune	West	Grade A
BR-0004	Delhi	North	Grade B
BR-0005	Jaipur	North	Grade C
BR-0006	Lucknow	North	Grade A
BR-0007	Kolkata	East	Grade B
BR-0008	Bhubaneswar	East	Grade C
BR-0009	Chennai	South	Grade A
BR-0010	Bengaluru	South	Grade B
BR-0011	Hyderabad	South	Grade C
BR-0012	Surat	West	Grade A
BR-0013	Ahmedabad	West	Grade B
BR-0014	Mumbai	West	Grade C
BR-0015	Pune	West	Grade A
BR-0016	Delhi	North	Grade B
BR-0017	Jaipur	North	Grade C
BR-0018	Lucknow	North	Grade A
BR-0019	Kolkata	East	Grade B
BR-0020	Bhubaneswar	East	Grade C
BR-0021	Chennai	South	Grade A
BR-0022	Bengaluru	South	Grade B
BR-0023	Hyderabad	South	Grade C
BR-0024	Surat	West	Grade A
BR-0025	Ahmedabad	West	Grade B
BR-0026	Mumbai	West	Grade C
BR-0027	Pune	West	Grade A
BR-0028	Delhi	North	Grade B
BR-0029	Jaipur	North	Grade C
BR-0030	Lucknow	North	Grade A

Annexure B - Document Retention Register

The table below sets the period for which each class of document is retained after the loan is closed.

Class ID	Document class	Retention after loan closure
DC-00001	Title search report (series 1)	8 years
DC-00002	Sanction letter (series 2)	5 years
DC-00003	KYC pack (series 3)	10 years
DC-00004	Valuation report (series 4)	7 years
DC-00005	Legal opinion (series 5)	4 years
DC-00006	Insurance certificate (series 6)	9 years
DC-00007	Disbursement memo (series 7)	6 years
DC-00008	Sale deed copy (series 8)	3 years
DC-00009	Title search report (series 9)	8 years
DC-00010	Sanction letter (series 10)	5 years
DC-00011	KYC pack (series 11)	10 years
DC-00012	Valuation report (series 12)	7 years
DC-00013	Legal opinion (series 13)	4 years
DC-00014	Insurance certificate (series 14)	9 years
DC-00015	Disbursement memo (series 15)	6 years
DC-00016	Sale deed copy (series 16)	3 years
DC-00017	Title search report (series 17)	8 years
DC-00018	Sanction letter (series 18)	5 years
DC-00019	KYC pack (series 19)	10 years
DC-00020	Valuation report (series 20)	7 years
DC-00021	Legal opinion (series 21)	4 years
DC-00022	Insurance certificate (series 22)	9 years
DC-00023	Disbursement memo (series 23)	6 years
DC-00024	Sale deed copy (series 24)	3 years
DC-00025	Title search report (series 25)	8 years
DC-00026	Sanction letter (series 26)	5 years
DC-00027	KYC pack (series 27)	10 years
DC-00028	Valuation report (series 28)	7 years
DC-00029	Legal opinion (series 29)	4 years
DC-00030	Insurance certificate (series 30)	9 years
DC-00031	Disbursement memo (series 31)	6 years
DC-00032	Sale deed copy (series 32)	3 years
DC-00033	Title search report (series 33)	8 years
DC-00034	Sanction letter (series 34)	5 years
DC-00035	KYC pack (series 35)	10 years
DC-00036	Valuation report (series 36)	7 years
DC-00037	Legal opinion (series 37)	4 years
DC-00038	Insurance certificate (series 38)	9 years
DC-00039	Disbursement memo (series 39)	6 years
DC-00040	Sale deed copy (series 40)	3 years
DC-00041	Title search report (series 41)	8 years

Class ID	Document class	Retention after loan closure
DC-00042	Sanction letter (series 42)	5 years
DC-00043	KYC pack (series 43)	10 years
DC-00044	Valuation report (series 44)	7 years
DC-00045	Legal opinion (series 45)	4 years
DC-00046	Insurance certificate (series 46)	9 years
DC-00047	Disbursement memo (series 47)	6 years
DC-00048	Sale deed copy (series 48)	3 years
DC-00049	Title search report (series 49)	8 years
DC-00050	Sanction letter (series 50)	5 years
DC-00051	KYC pack (series 51)	10 years
DC-00052	Valuation report (series 52)	7 years
DC-00053	Legal opinion (series 53)	4 years
DC-00054	Insurance certificate (series 54)	9 years
DC-00055	Disbursement memo (series 55)	6 years
DC-00056	Sale deed copy (series 56)	3 years
DC-00057	Title search report (series 57)	8 years
DC-00058	Sanction letter (series 58)	5 years
DC-00059	KYC pack (series 59)	10 years
DC-00060	Valuation report (series 60)	7 years

Notes

_____

_____

_____

Notes

_____

_____

_____

Notes

_____

_____

_____

Notes

_____

_____

_____

End of Document - Mortgage Loan Policy v1.0